

you owe—and when you file your taxes, you won’t be met with a surprise bill telling you that you owe the IRS thousands of dollars. In the past it was much, much easier to fill out your W-4 incorrectly, not have enough money withheld from your paychecks, and end up owing the IRS a bunch of money.

The process is not quite as simple if you have more than one job or if you are married filing jointly. Because this process is a bit more involved, I have created a how-to video that you can view on my website, www.htapersonalfinance.com.

Another portion of the W-4 that may be relevant to you is Step 4(b), where you claim deductions. If you are paying interest on your student loans or contributing to a standard IRA or 401(k) (which we will cover in depth in the chapter on retirement), you may be able to deduct it from your taxable income.

Step 4(b)—Deductions Worksheet (Keep for your records.)

1

Enter an estimate of your 2020 itemized deductions (from Schedule A (Form 1040 or 1040-SR)). Such deductions may include qualifying home mortgage interest, charitable contributions, state and local taxes (up to \$10,000), and medical expenses in excess of 7.5% of your income

1 \$

2

Enter:

• \$24,800 if you're married filing jointly or qualifying widow(er)

• \$18,650 if you're head of household

• \$12,400 if you're single or married filing separately

2 \$

3

If line 1 is greater than line 2, subtract line 2 from line 1. If line 2 is greater than line 1, enter "-0-"

3 \$

4

Enter an estimate of your student loan interest, deductible IRA contributions, and certain other adjustments (from Part II of Schedule 1 (Form 1040 or 1040-SR)). See Pub. 505 for more information

4 \$

5

Add lines 3 and 4. Enter the result here and in Step 4(b) of Form W-4

5 \$

Step 4 (optional): Other Adjustments

(a) Other income (not from jobs). If you want tax withheld for other income you expect this year that won't have withholding, enter the amount of other income here. This may include interest, dividends, and retirement income

4(a) \$

(b) Deductions. If you expect to claim deductions other than the standard deduction and want to reduce your withholding, use the Deductions Worksheet on page 3 and enter the result here

4(b) \$

(c) Extra withholding. Enter any additional tax you want withheld each pay period

4(c) \$

Figure 7.4. Step 4(b) of the W-4